

Question:

If the Federal Reserve was concerned about the "crowding-out" effect they could engage in

Answer Choices:

- A. expansionary monetary policy by lowering the discount rate.
- B. expansionary monetary policy by selling Treasury securities.
- C. contractionary monetary policy by raising the discount rate.
- D. contractionary monetary policy by lowering the discount rate.

Reasoning + Answer:

<think> The Federal Reserve is concerned about the "crowding-out" effect, which occurs when the government increases its borrowing, causing private borrowing to decrease. To counter this, the Fed can use expansionary monetary policy to increase the money supply and stimulate borrowing. One way to do this is by lowering the discount rate, making it cheaper for banks to borrow from the Fed. This would encourage banks to increase lending, thereby increasing the money supply and reducing crowding-out. </think><answer> A </answer>

